

# LW5678: INTRODUCTION TO LAW AND ECONOMICS

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## Effective Term

Semester A 2025/26

## Part I Course Overview

### Course Title

Introduction to Law and Economics

### Subject Code

LW - Law

### Course Number

5678

### Academic Unit

School of Law (FL)

### College/School

School of Law (FL)

### Course Duration

One Semester

### Credit Units

3

### Level

P5, P6 - Postgraduate Degree

### Medium of Instruction

English

### Medium of Assessment

English

### Prerequisites

Nil

### Precursors

Nil

### Equivalent Courses

LW4678 Introduction to Law and Economics

### Exclusive Courses

Nil

## Part II Course Details

### Abstract

Economics can be used to explain the workings of legal system and to analyse the effect legal rules have on human behaviour. This course introduces the concepts of law and economics. It is designed for law students with no background in economics. This course will start by introducing the basic principles of microeconomics that are useful for all law practitioners, regardless of specialty. Then, this course will introduce the applications of economic analysis to different areas of the law. This course does not require advanced mathematics knowledge. It focuses on the theoretical approaches to law instead of the empirical approaches. Where mathematics is used, it will mostly be basic graphical and algebraic analysis at secondary-school level.

### Course Intended Learning Outcomes (CILOs)

| CILOs |                                                                                                                                                                                                 | Weighting (if DEC-A1 DEC-A2 DEC-A3 app.) |   |   |   |
|-------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------|---|---|---|
| 1     | Describe the fundamental principles of microeconomics and applications of economics analysis to:<br>- Property law<br>- Tort law<br>- Contract law<br>- Legal process<br>- Crime and punishment |                                          | x |   |   |
| 2     | Apply the concepts learned to analyse legal problems related to:<br>- Property law<br>- Tort law<br>- Contract law<br>- Legal process<br>- Crime and punishment                                 |                                          | x | x |   |
| 3     | Critically analyse and evaluate law and economics literature and present their thoughts.                                                                                                        |                                          | x | x | x |

#### A1: Attitude

Develop an attitude of discovery/innovation/creativity, as demonstrated by students possessing a strong sense of curiosity, asking questions actively, challenging assumptions or engaging in inquiry together with teachers.

#### A2: Ability

Develop the ability/skill needed to discover/innovate/create, as demonstrated by students possessing critical thinking skills to assess ideas, acquiring research skills, synthesizing knowledge across disciplines or applying academic knowledge to real-life problems.

#### A3: Accomplishments

Demonstrate accomplishment of discovery/innovation/creativity through producing /constructing creative works/new artefacts, effective solutions to real-life problems or new processes.

### Learning and Teaching Activities (LTAs)

| LTAs |         | Brief Description                                                                                                                      | CILO No. | Hours/week (if applicable) |
|------|---------|----------------------------------------------------------------------------------------------------------------------------------------|----------|----------------------------|
| 1    | Lecture | Students will engage in formal lectures and participate in in-class discussions to gain knowledge about concepts of law and economics. | 1, 2, 3  | 3                          |

|   |                             |                                                                                                                                                                                                                                              |         |           |
|---|-----------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|-----------|
| 2 | Background Reading          | Students will read the course manual/course notes and other assigned readings for lectures.                                                                                                                                                  | 1, 2, 3 | Approx. 1 |
| 3 | Discussions & Presentations | Students will apply economics methods to analyse and evaluate law and economics literature. This may be done in discussions or group presentations.                                                                                          | 1, 2, 3 | Approx.2  |
| 4 | Feedback                    | Through the comments and interactive feedback from the instructor and classmates, students will be invited to think critically about the presented literature and encouraged to develop an in-depth understanding of the concepts presented. | 1, 2, 3 | Approx. 1 |

**Assessment Tasks / Activities (ATs)**

|   | ATs           | CILO No. | Weighting (%) | Remarks ("-" for nil entry)                                                                                                                                                                                                                                                    | Allow Use of GenAI? |
|---|---------------|----------|---------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|
| 1 | Participation | 1, 2, 3  | 20            | During lectures students will be encouraged to participate in the discussion by expressing their views on the issues on the syllabus and commenting on their classmates' presentations. Students have to demonstrate their understanding of the concepts of law and economics. | No                  |

|   |                           |         |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |    |
|---|---------------------------|---------|----|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----|
| 2 | Presentations and reports | 1, 2, 3 | 40 | <p>Students are expected to work in groups and give a presentation during lectures. Students will be encouraged to conduct innovative research for the presentations. The presentation aims to assess students' ability to apply the concepts learned to critically analyse and evaluate law and economics literature. After giving the presentation, each group has to submit a brief report on the presentation topic. This task aims to strengthen students' writing skills. The presentation and report account for 90% and 10% of the mark of this task respectively. Students in the same group will receive the same mark.</p> | No |
|---|---------------------------|---------|----|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----|

**Continuous Assessment (%)**

60

**Examination (%)**

40

**Examination Duration (Hours)**

2

**Minimum Continuous Assessment Passing Requirement (%)**

40

**Minimum Examination Passing Requirement (%)**

40

**Additional Information for ATs**

Examination

Students will need to show their understanding, critical assessment and mastery of the foundational concepts of law and economics, and their interaction inter se.

Students are also expected to demonstrate their ability to muster her legal knowledge to address hypothetical problems.

To pass this course

Applicable to students admitted from Semester A 2022/23 to Summer Term 2024

- Students must obtain an aggregate mark of 50% and a minimum of 50% in each of the coursework and the examination elements of the assessment.

Applicable to students admitted before Semester A 2022/23 and in Semester A 2024/25 and thereafter

- Students must obtain an aggregate mark of 40% and a minimum of 40% in each of the coursework and the examination elements of the assessment.

## **Assessment Rubrics (AR)**

### **Assessment Task**

Participation (for students admitted before Semester A 2022/23 and in Semester A 2024/25 & thereafter)

### **Criterion**

- Demonstration of willingness / ability to ask and answer questions in class.
- Demonstration of willingness / ability to comment on their classmates' presentations.

### **Excellent**

(A+, A, A-) Strong evidence of original thinking; good organization, capacity to analyse and synthesize; superior grasp of subject matter; evidence of extensive knowledge base.

### **Good**

(B+, B, B-) Evidence of grasp of subject, some evidence of critical capacity and analytic ability; reasonable understanding of issues; evidence of familiarity with literature.

### **Fair**

(C+, C, C-) Student who is profiting from the university experience; understanding of the subject; ability to develop solutions to simple problems in the material.

### **Marginal**

(D) Sufficient familiarity with the subject matter to enable the student to progress without repeating the course.

### **Failure**

(F) Little evidence of familiarity with the subject matter; weakness in critical and analytic skills; limited, or irrelevant use of literature.

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### **Assessment Task**

Presentations and reports (for students admitted before Semester A 2022/23 and in Semester A 2024/25 & thereafter)

### **Criterion**

- Demonstration of oral presentation skills
- The presentations aim to boost students' confidence and maturity. The reports aim to strengthen students' skills

### **Excellent**

(A+, A, A-) Strong evidence of original thinking; good organization, capacity to analyse and synthesize; superior grasp of subject matter; evidence of extensive knowledge base.

### **Good**

(B+, B, B-) Evidence of grasp of subject, some evidence of critical capacity and analytic ability; reasonable understanding of issues; evidence of familiarity with literature.

### **Fair**

(C+, C, C-) Student who is profiting from the university experience; understanding of the subject; ability to develop solutions to simple problems in the material.

**Marginal**

(D) Sufficient familiarity with the subject matter to enable the student to progress without repeating the course.

**Failure**

(F) Little evidence of familiarity with the subject matter; weakness in critical and analytic skills; limited, or irrelevant use of literature.

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**Assessment Task**

Examination (for students admitted before Semester A 2022/23 and in Semester A 2024/25 & thereafter)

**Criterion**

- Demonstration of understanding of principles, theories and concepts.
- Demonstration of ability to identify issues.
- Application of knowledge to specific problems and discussion questions.
- Ability to engage in argument-based analysis in a clear and logical manner.

**Excellent**

(A+, A, A-) Strong evidence of original thinking; good organization, capacity to analyse and synthesize; superior grasp of subject matter; evidence of extensive knowledge base.

**Good**

(B+, B, B-) Evidence of grasp of subject, some evidence of critical capacity and analytic ability; reasonable understanding of issues; evidence of familiarity with literature.

**Fair**

(C+, C, C-) Student who is profiting from the university experience; understanding of the subject; ability to develop solutions to simple problems in the material.

**Marginal**

(D) Sufficient familiarity with the subject matter to enable the student to progress without repeating the course.

**Failure**

(F) Little evidence of familiarity with the subject matter; weakness in critical and analytic skills; limited, or irrelevant use of literature.

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**Assessment Task**

Participation (20%) (for students admitted from Semester A 2022/23 to Summer Term 2024)

**Criterion**

- Demonstration of willingness / ability to ask and answer questions in class.
- Demonstration of willingness / ability to comment on their classmates' presentations.

**Excellent**

(A+, A, A-) High

**Good**

(B+, B) Significant

**Marginal**

(B-, C+, C) Moderate

**Failure**

(F) Inadequate

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**Assessment Task**

Presentations and reports (40%) (for students admitted from Semester A 2022/23 to Summer Term 2024)

**Criterion**

- Demonstration of oral presentation skills
- Students' confidence and maturity in delivering presentations.
- Students' writing skills in preparing the report.

**Excellent**

(A+, A, A-) High

**Good**

(B+, B) Significant

**Marginal**

(B-, C+, C) Moderate

**Failure**

(F) Inadequate

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**Assessment Task**

Examination (40%) (for students admitted from Semester A 2022/23 to Summer Term 2024)

**Criterion**

- Demonstration of understanding of principles, theories and concepts.
- Demonstration of ability to identify issues.
- Application of knowledge to specific problems and discussion questions.
- Ability to engage in argument-based analysis in a clear and logical manner.

**Excellent**

(A+, A, A-) High

**Good**

(B+, B) Significant

**Marginal**

(B-, C+, C) Moderate

**Failure**

(F) Inadequate

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## Part III Other Information

Keyword Syllabus

Law and economics, microeconomic theory, maximization, equilibrium, efficiency, demand, supply, game theory, property, property rights, bargaining, private ownership, tort, liability, contract, remedies, incentives, social costs, exchange of information, settlement, legal process, criminal law, crime, punishment, deterrence, death penalty, empirical law & economics

### Detailed Syllabus

1. Introduction to microeconomics theory I
  2. Introduction to microeconomics theory II
  3. Economic theory of property law I
  4. Economic theory of property law II
  5. Economic theory of contract law I
  6. Economic theory of contract law II
  7. Economic theory of tort law I
  8. Economic theory of tort law II
  9. Economic theory of crime and punishment I
  10. Economic theory of crime and punishment II
  11. Introduction to empirical law & economics I
  12. Introduction to empirical law & economics II
- (\*Week 9 will be reading week, where there will be no lecture)

### Reading List

#### Compulsory Readings

| Title |                                                                                                                                                                                       |
|-------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1     | Robert Cooter & Ulen Thomas, Law and Economics (6th edition) (Berkeley Law 2016), <a href="https://lawcat.berkeley.edu/record/1127400">https://lawcat.berkeley.edu/record/1127400</a> |

#### Additional Readings

| Title |                                                                                               |
|-------|-----------------------------------------------------------------------------------------------|
| 1     | Jeffrey L. Harrison, Law and Economics in a Nutshell (7th edition) (West Academic 2020)       |
| 2     | A. Mitchell Plinsky, An Introduction to Law and Economics (5th edition) (Wolters Kluwer 2018) |
| 3     | Further readings may be provided to students on a week-by-week basis.                         |